

Tuscan Village Leasing Shows Mixed-Use Capital Is Betting on Experience, Not Just Rent

Whole Foods and Free People signal that retail debt is available only for projects with proven demand density.

The most important number in the Tuscan Village leasing announcement is not the square footage of the four new tenants. It is the 170 acres. That is the scale of capital commitment required to build a mixed-use development from scratch in a market where construction financing remains expensive and retail lenders demand proof of demand before they commit. Whole Foods Market, Free People, SWTHZ, and Festa Studio are not just filling space.

They are validating the thesis that Tuscan Village can attract the kind of tenant that drives foot traffic, supports residential rents, and justifies the roughly 4 million square feet of planned development. That validation matters because it signals to lenders and equity partners that the project has leasing momentum at a time when retail development financing is available only for projects with demonstrated demand density.

The development, located in Salem, New Hampshire, roughly 30 miles north of Boston, is being built by a team that has already secured tenants including Shake Shack, Sweetgreen, The Capital Grille, Pottery Barn, L.L. Bean, and Warby Parker. The addition of Whole Foods is particularly significant.

Grocery anchors remain one of the most reliable demand drivers in mixed-use retail, and Whole Foods brings a demographic profile that supports higher-end retail and residential pricing. What this leasing activity reveals about capital markets is straightforward. Mixed-use development debt is not broadly available.

It is available for projects that can show pre-leasing to a critical mass of creditworthy tenants, a sponsor with a track record of execution, and a location with enough population density and income to support the projected cash flow. Tuscan Village checks those boxes.

The project sits in a growing suburban corridor with access to Boston employment, and the tenant roster suggests the developer is targeting a demographic that can support both retail spending and residential occupancy. The capital pressure underneath this story is the cost and availability of construction and permanent financing. Interest rates remain elevated relative to the pre-2022 era, and lenders are underwriting with tighter debt service coverage ratios and lower loan-to-cost thresholds.

For a project of this scale, the developer likely needed a significant equity cushion and a phased approach that allows leasing to de-risk each phase before the next one breaks ground. The leasing announcements serve as a signal to the capital stack that the project is on track. Who benefits from this leasing momentum? The developer benefits because it strengthens the case for the next tranche of construction financing.

The existing tenants benefit because more complementary retailers increase foot traffic and sales. The lenders benefit because pre-leasing reduces the risk that the retail component will sit vacant. The town of Salem benefits because the project generates tax revenue and economic activity. Who is exposed? Developers of competing mixed-use projects that lack this level of pre-leasing. Retail landlords with older, unanchored centers that cannot attract the same tenant mix.

And lenders who financed retail development without the same demand density or sponsor quality. The market should watch two things next. First, whether Tuscan Village secures additional residential leasing commitments, because the residential component is what ultimately supports the retail square footage and the overall project economics. Second, whether the developer can maintain this leasing velocity through the next phase, because capital markets will reward consistency more than a single announcement.

Mixed-use development is not back broadly. It is back for projects that can prove demand before they build. Tuscan Village is proving it can.

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